

Asia Venture Funding In 2023 Hits Lowest Level Since 2015

Chris Metinko January 10, 2024



Chris Metinko

Mirroring the [global market](#), venture funding to startups in Asia in 2023 dropped 38% — falling to its lowest total dollar amount since 2015.

Venture funding in Asia totaled only \$78.1 billion in 2023, a steep fall from the \$125.2 billion raised in 2022, and a more than 58% drop from the staggering \$187.4 billion funded in 2021.

Asia Venture Dollar Volume By Annum

Angel-Seed Early Stage Late Stage Technology Growth

crunchbase

The numbers were not helped by the year’s final quarter. Venture funding struggled in Q4, with only \$15.6 billion raised by startups in Asia, the lowest amount since the last quarter of 2015 when only \$14 billion was raised by startups, per [Crunchbase](#) data.

Asia Venture Dollar Volume Through Q4 2023

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	-31%	-34%

crunchbase

Deal flow also continued to slow, as only 1,481 deals were consummated in Q4, a 13% decline from the previous quarter and a 22% drop year to year.

Asia Venture Deal Volume Through Q4 2023

	Angel-Seed	Early Stage	Late Stage	Technology Growth
	QoQ Change [%]		YoY Change [%]	
Overall Deal Volume	-13%		-22%	

crunchbase

Table of contents

- [Year-to-year drop](#)
- [Late-stage and growth rounds nosedive](#)
- [Early stage diminishes](#)
- [Angel and seed see dip](#)
- [Breakdown by country](#)
- [What we learned](#)
- [Methodology](#)
- [Glossary of funding terms](#)

Year-to-year drop

With total venture funding in Asia being down so significantly for the year, it is not surprising every stage of funding realized a large decline in 2023.

Early-stage funding led the way with the largest drop. Only \$27.9 billion was raised by early-stage startups in Asia last year, a 47% decline from the \$52.5 billion raised in 2022.

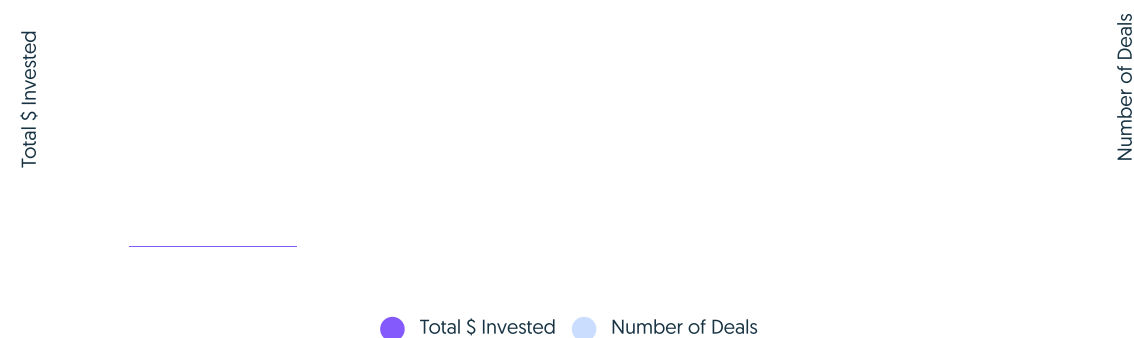
Angel and seed funding was next, falling 34% from 2022, with such startups raising only \$6.5 billion in venture dollars last year.

Finally, late-stage and technology rounds fell 30% — which is significant considering the size of those rounds — from \$62.8 billion in 2022 to only \$43.7 billion last year.

Late-stage and growth rounds nosedive

Interestingly, the slow Q4 was hurt most by a lack of those large late-stage and growth rounds. Startups raising those rounds received only \$15.6 billion, a drop of 31% from the previous quarter and a decrease of 34% from Q4 2022, which saw \$23.8 billion invested.

Asia Late-Stage And Technology Growth Investment Through Q4 2023



Some of the biggest deals included:

- Singapore-based [Lazada Group](#), an online shopping site, raised a \$634 million corporate round from [Alibaba Group](#).
- Saudi Arabia-based [Tamara](#), a shopping and payments platform, raised a \$340 million Series C.
- India-based [Udaan](#), a B2B trade platform for manufacturers, retailers and wholesalers, raised a \$340 million Series A.

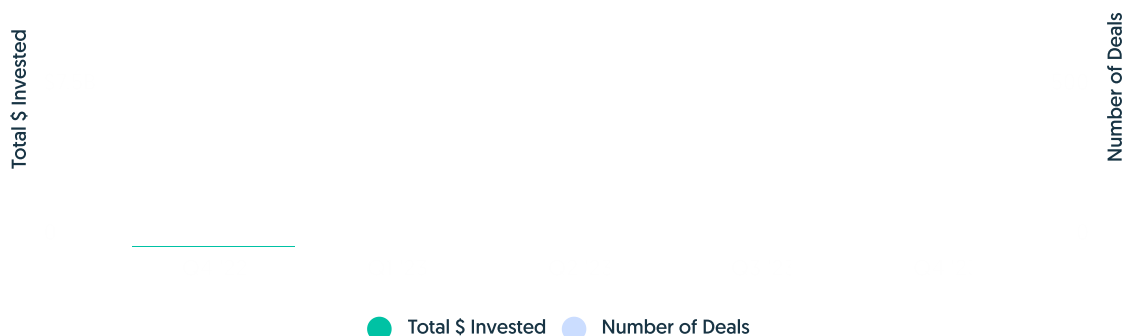
Deal pace in Q4 was similar to the previous quarter with 161 deals, but that number also represented a 21% decline from the 204 late- and technology-stage deals completed in Q4 2022.

Early stage diminishes

Although late-stage rounds saw the steepest dropoff quarter to quarter, it was actually early-stage that saw the biggest fall year to year.

In Q4, early-stage startups raised \$6.1 billion, a 7% falloff from the previous quarter but a staggering 46% drop from Q4 2022 which saw \$11.4 billion raised by such startups.

Asia Early-Stage Investment Through Q4 2023



Deal flow surprisingly did not see a big dip. In Q4, 528 early-stage rounds were completed, just a 10% drop from both the previous quarter and the previous year. That fact would seem to clearly illustrate that while such rounds did not dwindle much in numbers, they were considerably smaller — likely due to valuation declines and investors continuing to tighten the purse strings.

Angel and seed see dip

Angel and seed rounds, on the other hand, did see a large reduction in numbers. In Q4, 792 deals were finalized, a 17% dropoff from the previous quarter and a whopping 28% from Q4 2022.

Asia Seed And Angel Investment Through Q4 2023

crunchbase

Angel and seed funding hit \$1.5 billion for the quarter, a small 3% drop from Q3, but a massive 30% decline from the previous year when such funding hit \$2.2 billion.

Breakdown by country

What may be most interesting about Q4 is where in the region some of the declines occurred.

Venture funding in China nearly halved in Q4 from the previous quarter — falling from \$14.1 billion in Q3 to just \$7.7 billion last quarter. Of course, that may have been expected as some U.S.-based VC firms [have pulled out of the region due to heightening tensions between China and the U.S.](#) Other notable firms such as [GGV Capital](#) and [Sequoia Capital](#) announced they would split off their Chinese arms from their U.S. firms.

It will be hard for Asia to have a bounceback to, say, 2020 levels if the region's largest country and venture market cannot somehow find a way to replace lessening U.S. investment.

Another country that saw a substantial decline, with funding dropping to about \$500 million — a 66% drop from the \$1.5 billion in Q3, is Israel. The drop obviously coincides with the [October attack by Hamas](#) and ensuing conflict.

Venture Dollar Volume By Leading Country In Asia, Through Q4 2022

[crunchbase](#)

Israel has a robust startup ecosystem — especially when it comes to areas such as cybersecurity — and it's logical to think that ecosystem will continue to struggle raising money as long as the conflict rages on.

What we learned

Those tensions and geopolitical issues will undoubtedly remain well into the new year, so anyone hoping for a quick bounceback from Q4's low totals may be disappointed.

One investor and startup founder's big talking points in the past several quarters was that the venture market is merely "resetting" and going back to the pre-pandemic norms of 2020.

That seems to be pretty optimistic based on Q4 numbers.

There is no doubt the venture market is resetting, but it may be going back further than 2020.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 3, 2024.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

We have made a change to how we include corporate funding rounds in our reporting as of January 2023. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: Dom Guzman

Search less. Close more.

Grow your revenue with all-in-one prospecting solutions powered by the leader in private-company data.



START YOUR SEARCH